

Pooja Finlease Ltd vs Ravit Kumar on 22 January, 2024

IN THE COURT OF
METROPOLITAN MAGISTRATE (NI ACT) - 08
SOUTH WEST DISTRICT, DWARKA COURTS, DELHI
Presided by : Sh. Apoorv Bhardwaj
In case of:-

POOJA FINLEASE LTD.

... Complainant

VERSUS

RAVIT KUMAR

... Accused

JUDGMENT

- | | |
|---|---|
| a) Sl no. of the case : | 1300/2018 |
| b) CNR of the case : | DLSW020014102018 |
| c) Date of institution | 09.01.2018 |
| d) Name, parentage and address of the complainant : | Pooja Finelease Ltd.
KLJ Complex-I, Plot No.70
B-39, Shivaji Marg (opposite Moti Nagar Police Station) Najafgarh Road, Moti Nagar, New Delhi-110015 |
| e) Name, parentage and | Sh. Ravit Kumar |

address of the accused: S/o Sh. Sukhbir Singh R/o House No.65, Inder Enclave, Phase-2, Nithari, Sultanpuri, C Block, New Delhi-110086.

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|----------------------------|--------------------|
| f) Offence complained of : | 138 NI Act |
| g) Total cheque amount : | Rs.32,890/- |
| h) Plea of the accused : | Pleaded not guilty |
| i) Arguments heard on : | 22.01.2024 |
| j) Final order : | Acquitted |
| k) Date of Judgment : | 22.01.2024 |

BRIEF STATEMENT OF FACTS FOR THE DECISION

1. Vide this judgment, I shall decide the present complaint filed under section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as 'NI Act') by the complainant against the accused.

Factual Background

2. The case of the complainant company in a nutshell is that on 21.07.2016, the accused had availed a loan of Rs.35,000/- for purchasing a two wheeler and had agreed to repay the same in 10 equal EMIs of Rs.3500/- each. Since the accused failed to repay the said loan, he approached the complainant to settle the loan account and issued the cheque in question for a sum of Rs.32,890/- towards interest, overdue and bounce charges. The cheque in question was dishonoured upon presentation and legal demand notice also did not yield any result. Hence, the present complaint.

Trial & Proceedings before the Court

3. Upon a prima facie consideration of pre-summoning evidence, cognizance of offence under section 138 NI Act was taken and the accused was summoned. Thereafter, separate notice explaining the accusation was put to the accused under section 251 of The Code of Criminal Procedure, 1973 (hereinafter referred to as 'CrPC') to which he pleaded not guilty and claimed trial. At this stage, the following aspects were admitted/denied by the accused:-

3.1. Signatures on the cheque in question:- Admitted Ct Case No.1300/2018 Pooja Finlease Ltd. vs. Ravit Kumar Page no.2 of 10
3.2. Filling up of the material particulars on the cheque in question:- Denied
3.3. Receiving the legal demand notice :- Denied
3.4. Acquaintance with the complainant :- Denied In his defence he stated that he had repaid the entire loan amount.

4. Thereafter, the accused was granted an opportunity to cross-examine the complainant under section 145(2) NI Act.

5. The substituted AR for the complainant was examined as CW-2 and he relied on his evidence by way of affidavit Ex CW2/A and on the following documents :-

5.1. Ex. CW2/1 (OSR) i.e. Board resolution in his favour
5.2. Ex. CW1/A i.e. board resolution in favour of previous AR
5.3. Ex. CW1/B i.e. the cheque in question
5.4. Ex. CW1/C i.e. return memo
5.5. Ex. CW1/D i.e. the legal notice
5.6. Ex. CW1/E i.e. postal receipt
5.7. Ex. CW1/F i.e. tracking report.

6. Thereafter, CW-2 was cross-examined. During his cross-examination, the following notable points emerged:-

6.1. It was correct that he did not know who filled the amount of the cheque in question.

6.2. He was not aware how many cheques were handed over by the accused at the time of availing the loan in question.

Ct Case No.1300/2018 Pooja Finlease Ltd. vs. Ravit Kumar Page no.3 of 10 6.3. They had received all the instalments from the accused. Total number of instalments were 10 and 10 instalments had been paid by the accused. The accused had made payments with a lot of delay and therefore the present complaint is for realizing the over due payments.

6.4. On the date of filing of present complaint the total overdue payment of the accused was approximately Rs.20,000/-.

6.5. He was not aware why a case was filed against the accused to recover an amount of Rs.32,890/-.

7. Thereafter a statement of the accused under section 313 CrPC was recorded wherein he reiterated the defence disclosed by him at the stage of framing of notice under section 251 Cr.P.C. He did not lead defence evidence.

8. During the course of final arguments Ld counsel for the complainant Sh. Rohit Garg submitted that the complainant has duly proved his case by placing on record the entire documentary evidence and the accused has failed to rebut the presumption against him. It was also submitted that accused is liable to pay overdue charges.

9. Per contra, Ld Counsel for the accused Sh. Rajpal Gulia prayed that the accused be acquitted. He submitted that AR has admitted that accused has paid the entire loan amount and that at the stage of filing of the complaint the liability of the accused was much lower than the cheque amount.

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10. Before proceeding further to reflect upon the defence and evaluation of evidence, the foremost check point is whether the facts averred by the complainant fulfil the basic statutory requirement for constituting an offence under section 138 NI Act.

To establish the offence under Section 138 of the NI Act against the accused, the complainant must prove the following:-

(i) The accused must have drawn a cheque on an account maintained by him in a bank for payment of a certain amount of money to another person from out of that account;

(ii) The cheque should have been issued for the discharge, in whole or in part, of any debt or other liability;

(iii) That cheque has been presented to the bank within a period of three months from the date on which it is drawn or within the period of its validity whichever is earlier;

(iv) That cheque is returned by the bank unpaid, either because of the amount of money standing to the credit of the account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with the bank;

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(v) The payee or the holder in due course of the cheque makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within 30 days of the receipt of information by him from the bank regarding the return of the cheque as unpaid;

(vi) The drawer of such cheque fails to make payment of the said amount of money to the payee or the holder in due course of the cheque within 15 days of the receipt of the said notice.

Being cumulative it is only when all the aforementioned ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under section 138 NI Act.

11. In the present case, the complainant has filed on record the original cheque as Ex. CW1/B. The genuineness of the cheques is not disputed. The accused has also admitted his signatures on the cheques in question. Therefore ingredient number (i) stands fulfilled in the present case.

12. The said cheque was presented to the bank within a period of three months from the date on which it was drawn and was returned dishonoured for the reason "Funds insufficient". The returning memo dated 30.10.2017 bearing the fact of dishonour of cheque in question has been exhibited by the complainant as Ex. CW1/C. The genuineness of the returning memo is also not Ct Case No.1300/2018 Pooja Finlease Ltd. vs. Ravit Kumar Page no.6 of 10 disputed by the accused. Therefore ingredient number (iii) &

(iv) also stand fulfilled in this case.

13. The complainant then sent a legal notice, Ex CW1/D dated 25.11.2017. The original postal receipt dated 28.11.2017 has been placed on record as Ex CW1/E. The accused has denied receiving the legal demand notice. However, the address mentioned on the legal demand notice is the same as the one provided by the accused on his bail bonds. Therefore, in light of the decision of the Hon'ble Supreme Court of India in C C Alavi Haji v Palapetty Muhammad (2007) 6 SCC 555, the accused not having paid the amount of cheque in question within 15 days of service of summons to him, he cannot be allowed to raise any grievance regarding the non-receipt of the legal notice. Therefore, the ingredient number (v) and (vi) have been fulfilled in the present case.

14. Now, I shall consider whether condition number (ii) i.e. the requirement that the cheque in question have been issued for the discharge, in whole or in part, of any debt or other liability is fulfilled or not. Towards this end, it is apt to discuss that a negotiable instrument including a cheque carries following presumptions in terms of Section 118 (a) and Section 139 of the NI Act.

Section 118 of the NI Act provides :

"Presumptions as to negotiable instruments: Until the contrary is proved, the following presumptions shall be made:

(a) of consideration :- that every negotiable instrument was made or drawn for consideration, and that every such instrument, when it has been accepted, indorsed, Ct Case No.1300/2018 Pooja Finlease Ltd. vs. Ravit Kumar Page no.7 of 10 negotiated or transferred was accepted, indorsed, negotiated or transferred for consideration;"

Section 139 of the N.I Act further provides as follows:

"Presumption in favour of holder:- it shall be presumed, unless the contrary is proved, that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability"

Thus, the combined effect of Section 118(a) and Section 139 of NI Act raises a presumption in favour of the holder of the cheque that he has received the same for discharge, in whole or in part of any debt or other liability. Therefore, existence of condition number (ii) is presumed against the accused.

15. When the presumption is raised in favour of the complainant, the burden is shifted on the accused to disprove the case of the complainant by rebutting the presumption. The accused can displace this presumption on the scale of preponderance of probabilities. Lack of consideration or a legally enforceable debt need not be proved beyond a reasonable doubt as is the general rule in criminal cases. The accused has to make out a fairly plausible defence which is acceptable to the court. This the accused can do either by leading his own evidence or by raising doubt /demolishing the material or evidence brought on record by the complainant. Reliance can be placed on Basalingappa v Mudibasappa (2019) 5 SCC 418.

16. Further, the court need not insist in every case that the accused should disprove the non-existence of consideration and debt by leading direct evidence because the existence of negative evidence Ct Case No.1300/2018 Pooja Finlease Ltd. vs. Ravit Kumar Page no.8 of 10 is neither possible nor contemplated. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances, upon consideration of which, the court may either believe that the consideration and debt did not exist or their non-existence was so probable that a prudent man would under the circumstances of the case, act upon the plea that they did not exist. The

accused may also rely upon circumstantial evidence to shift the burden again on the complainant. [Refer: Bharat Barrel and Drum Manufacturing Company v Amin Chand Pyarelal 1999 SCCOnline SC 188 and Kumar Exports v Sharma Carpets, 2008 SCC OnLine SC 1885].

17. Also, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant-accused cannot be expected to discharge an unduly high standard or proof. Presumption of innocence as a human right needs to be delicately balanced with doctrine of reverse burden contained in section 139 of NI Act. [Reference can be made to Rangappa v Sri Mohan 2010 SCC OnLine SC 583 and Krishna Janardhan Bhat v Dattatreya G Hegde 2008 (4) SCC 54].

18. Having referred to the above judicial pronouncements, I shall now analyse the record in their light.

Whether the accused has been able to rebut the presumption against him.

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19. In the present case the AR has admitted that the accused had repaid all the instalments with respect to the loan in question. He has also admitted that the total liability of the accused on the date of filing of the present complaint was only Rs.20,000/-. Upon being asked that why a cheque of Rs.32,890/- was presented, the AR could not provide any satisfactory answer and claimed ignorance. These facts are sufficient to rebut the presumption against the accused.

20. For all these reasons, I am of the view that on a scale of preponderance of probabilities, the accused has been able to rebut the presumption against him and therefore ingredient no. (ii) has not been established against the accused beyond reasonable doubt.

Conclusion

21. In view of the evidence adduced, documents put forth and arguments advanced by the parties and further in view of the above discussion, the court is of the considered view that Sh. Ravit Kumar is not guilty of offence under Section 138 of Negotiable Instruments Act, 1881 and accordingly, he is hereby acquitted under Section 138 of Negotiable Instruments Act, 1881.

Announced in open court on 22.01.2024 Judgment consists of 10 pages. Digitally signed by APOORV APOORV BHARDWAJ BHARDWAJ Date: 2024.01.23 09:58:31 +05'30' APOORV BHARDWAJ MM-o8 (NI Act) SOUTH WEST:DWARKA COURTS.

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